defactor

A Comprehensive Guide

LENDING POOLS UNPACKED

Unlocking Liquidity with DeFi Loans



CHAPTER OVERVIEW

This is an interactive pdf.
Click on a title to jump to the corresponding chapter.

01 PG.5 Understanding Lending Pools and Their Role in DeFi Loans

02 PG.13 Real-World Assets and Lending Pools: A Perfect Match

03 PG.23 Aspects of Projects That Benefit Most From Lending Pools

04 PG.26 Using Defactor Pools to Unlock Your Liquidity

05 PG.28 Glossary

defactor

Key Takeaways

DeFi loans offer a new way for people to access capital, with benefits such as a lower cost of funds, greater collateral flexibility, and less credit dependency, as compared to traditional loans.

A lending pool is a reservoir of funds provided by certain communities, enabling borrowers to access loans and lenders to earn interest. They are key in facilitating DeFi loans.

Tokenised real-world assets (RWA) can be used as collateral within lending pools. An RWA-backed loan can be obtained by working together with an underwriter or by launching a self-managed lending pool.

The management of the real-world asset used as collateral comes with various challenges, ranging from accurately valuing the collateral to managing a possible liquidation.

Each type of real-world asset comes with its own set of challenges when it is used as collateral. Collaboration with experts is key in navigating these challenges.

Projects that benefit most from lending pools have a need for liquidity, are experts in their asset class, have a strong community, and are open to tackling challenges.

This ebook has been prepared for general guidance only. Please do not act according to any information provided in this publication without receiving specific professional consultation.

© 2023 Defactor. All rights reserved.

Foreword

With the decentralised finance (DeFi) market estimated to be worth over 200 billion USD by 2030, it can be said with certainty that the DeFi market is not going anywhere. The DeFi movement poses an alternative to traditional finance and aims to be more transparent, efficient, and inclusive.

DeFi loans play an important role in this market, offering a new and alternative way for businesses and individuals to receive funding. With this new way of funding, intermediary parties like banks are replaced with innovative protocols, mechanisms, and methodologies, which work together to make loans cheaper, more efficient, and more transparent for borrowers, as well as more lucrative, safe, and tailored for lenders.

Lending pools play a crucial role in DeFi loans, facilitating these loans by being a dynamic reservoir of funds provided by certain communities, enabling borrowers to access loans and lenders to earn interest.

This ebook provides an in-depth explanation of lending pools and their fundamental concepts, as well as their benefits. In addition to that, it includes a comprehensive explanation of tokenised real-world assets and their usage in lending pools, as well as an overview of use cases and a description of projects suitable for leveraging lending pools.

> Lastly, we would like to note that the terms and concepts described in this ebook are in a novel state. The terms and concepts used in this ebook are subject to constant change, and may also be known under different names in other places. The glossary at the end of the ebook describes our current understanding of each of the keywords used and described in this ebook.

Understanding Lending Pools and Their Role in DeFi Loans

01

In the ever-evolving landscape of finance, DeFi has emerged as a new opportunity, offering an innovative approach to borrowing and lending. But why consider DeFi loans in the first place?

At the core of this DeFi lending revolution are lending pools, which play a key role in facilitating DeFi loans. This chapter explores the fundamental concepts behind lending pools, their various forms, and the key elements that define them.

TOPICS - Click to jump to page

What is a lending pool? pg.06
Key aspects of lending pools pg.07
Benefits of lending pools pg.09
Risks of lending pools pg.10
Differences in lending pools pg.10

Back to chapter overview



What is a lending pool?

In short, lending pools facilitate DeFi loans and are a central component that underpins the DeFi lending ecosystem. They are dynamic pools of funds pro-vided by certain communities or parties, enabling borrowers to access loans and lenders to earn interest. But why do these lending pools even exist?

In traditional finance, banks act as intermediaries, connecting lenders who deposit their money to borrowers who need loans. DeFi lending, powered by lending pools, on the other hand, streamlines this process through the use of blockchain and smart contracts.

Borrowers can secure loans quickly, often without extensive credit checks, while lenders earn interest on their assets. This transformation reduces reliance on centralised institutions, promoting financial inclusion and global collaboration among lenders and borrowers. Picture it as a modernised version of familiar community-based lending systems, but with the advan-tages of blockchain's security, transparency, and efficiency.

It is like a digital cooperative where people help each other financially, only now it's on a global scale and operates 24/7, seamlessly connecting lenders and borrowers worldwide.

Similar to existing lending solutions, several key parties play distinct roles in lending pools:

Borrowers: Borrowers are individuals or entities seeking to obtain loans through DeFi lending pools. They provide collateral to secure their loans, and their role is to adhere to the terms and conditions of the loan agreement. This is similar to how borrowers interact with traditional lending institutions.

Lenders: Lenders, often also referred to as **liquidity providers**, are participants who provide liquidity to the lending pool by depositing their assets, which are then lent out to borrowers. These assets tend to be stablecoins. Lenders earn interest on their deposited assets as compensation for taking on the risk associated with lending. This process is much like depositing funds into a savings account at a bank.

Lending pool: An automated smart contract that governs the operations of the pool. It manages the allocation of funds, interest rates, collateralisation ratios, and the distribution of interest payments. This automated management differs from traditional banks, where human intermediaries oversee lending operations.

DeFi protocol: The overarching framework that hosts the lending pool. It sets the rules, enforces smart contracts, and ensures the integrity of the lending process. This can be compared to how the traditional financial system provides the underlying infrastructure on which banks operate.

Key aspects of lending pools

In the world of DeFi lending pools, several critical aspects shape the dynamics of borrowing and lending. Understanding these key elements is essential for participants looking to navigate this evolving landscape effectively:

Annual Percentage Yield (APY): This metric measures the annualised rate of return on investment, accounting for compounding interest. In DeFi lending pools, it signifies the potential earnings or losses for liquidity providers. However, it also underscores the exposure to market fluctuations, potentially leading to losses if asset values decline significantly.

Utilisation rate: The utilisation rate paints a vivid picture of how efficiently a lending pool deploys its capital. It measures the proportion of the pool's funds currently in use as loans. A high utilisation rate suggests a strong demand for loans, potentially leading to competitive interest rates for lenders. In contrast, a low utilisation rate may indicate underutilised capital, which could impact the overall profitability of liquidity providers. Different types of lending pools may have varying utilisation rates based on their specific characteristics and user behaviours.

Seniority: When you lend money to lending pools, these pools can have different levels of seniority, similar to the traditional world in which you have junior and senior bonds.

In DeFi, it means that lending pools with different levels of seniority use a multi-token structure. In other words, it means you can receive two types of tokens when lending money to the pool, namely junior and senior tokens. These tokens represent different positions within the lending pool, and their characteristics can vary depending on the specific pool type. Some lending pools may even have additional levels of tokens.

Senior tokens prioritise safety and stability. They enjoy priority when it comes to receiving interest payments and capital repayment. Although there is still a risk of losing your capital in extreme cases, holding senior tokens means you have a more conservative and secure position within the lending pool. In case of defaults, senior tokens have priority, reducing the risk of losing your capital.

In contrast, *junior tokens* offer the potential for higher returns but come with more risk. They are exposed to greater risk, including the possibility of losses if the lending pool encounters defaults or liquidations. Junior tokens are for those willing to take on more risk in pursuit of potentially higher rewards.

Another important point to mention is that some lending pool platforms use a different structure. Instead of having multiple tokens within one pool, lending pool platforms may operate entirely different pools at various levels of risk.

Collateral: The choice of collateral within lending pools is a key determinant of risk and reward for both borrowers and lenders. Collateral can differ significantly between lending pools in terms of type and value. The type of collateral accepted within a pool may range from cryptocurrency assets to real-world assets and can impact the pool's risk profile.

A higher collateralisation ratio, also commonly referred to as the **loan-to-value (LTV) ratio**, typically indicates a lower risk for lenders but may limit borrowing capacity. Con-versely, pools with lower collateralisation ratios may offer borrowers more flexibility but pose greater risks to lenders in the event of defaults.

Liquidation threshold: The liquidation threshold represents a critical safe-guard within lending pools. It signifies the point at which a borrower's collateral may be liquidated to protect lenders and the overall stability of the pool. The specific threshold can vary, impacting the risk profile of the lending pool.

A lower threshold may trigger liquida-tions more readily, potentially protecting lenders from significant losses but requiring borrowers to maintain a higher level of collateralisation. In contrast, a higher threshold may provide borrowers with more freedom but could expose lenders to increased risk in the event of collateral value fluctuations.



Benefits of lending pools

Lending pools offer a multitude of benefits that cater to parties on both sides of loans, making them a promising innovation in the financial landscape.

For borrowers

Better financing access: Borrowers benefit from easy access to financing without the need for traditional intermediaries. They can secure loans quickly and efficiently through lending pools.

Collateral flexibility: Lending pools often accept a wide range of collateral assets, allowing borrowers to utilise both digital assets, like cryptocurrencies or NFTs, or real-world assets, ranging from real estate to whiskey, as collateral.

Less credit dependency: collateralisation reduces the significance of credit checks, enabling borrowers with limited credit histories to access loans.

Quicker loan processing: Borrowers experience swift loan approval and disbursement, eliminating the delays associated with traditional lending processes.

For lenders

Earning interest: Lenders in DeFi lending pools have the opportunity to earn interest on their deposited assets, creating a passive income stream as their assets are utilised by borrowers.

Diversified exposure: Lending pools provide diversification benefits, as funds are often allocated across multiple borrowers and assets, reducing the impact of poor performance in any single asset.

Community focus: Lending pools can foster a sense of community and shared ownership among participants. Lenders and borrowers become stakeholders in the pool's success, creating a collaborative environment in which lenders can support businesses they like and get rewarded for doing so.

Direct involvement: Lenders directly engage with borrowers, allowing them to set lending terms and assess potential risks, enhancing their control and involvement in the lending process.

Risks of lending pools

While the benefits of DeFi lending pools are compelling, it is essential to acknowledge the associated risks and exercise prudence when participating.

For borrowers

Collateral volatility: Collateral assets in DeFi lending pools can exhibit significant price volatility, posing the risk of asset values falling below the liquidation threshold during market fluctuations, potentially resulting in the loss of collateral.

Smart contract vulnerabilities: Vulnerabilities or security exploits in the smart contracts that govern the lending pools can lead to unexpected financial losses for borrowers.

Default risk: Borrowers are at risk of defaulting on their loans, potentially leading to the loss of their collateral assets and a damaged credit history.

For lenders

Liquidity risk: Instances of liquidity constraints within the pool may affect lenders' ability to withdraw funds or close positions swiftly or until possible lockup periods have expired.

Collateral liquidation: The liquidation of the collateral in case of a default or in case the collateral value falls below the liquidation threshold can be a cumbersome, time-consuming, and expensive process.

Smart contract vulnerabilities: Vulnerabilities or security weaknesses in the smart contracts governing lending pools can expose lenders to unforeseen financial losses.

Differences in lending pools

These lending pools come in various forms, each with unique characteristics that are tailored to the goals of that specific lending pool. The main distinguishing factors for different types of lending pools are as follows.

Interest rate models: Fundamental in shaping the borrowing and lending dynamics within DeFi lending pools. Understanding these models is crucial for participants to navigate the lending landscape effectively:

Fixed-rate pools: In fixed-rate pools, the interest rate for loans remains constant over a defined period. This stability provides borrowers with predictability in their loan terms, making it easier to plan for repayments. However, lenders in fixed-rate pools may not benefit from interest rate adjustments that reflect market conditions.

Variable-rate pools: In variable-rate pools, however, interest rates dynamically adjust based on supply and demand dynamics and other market factors. While this flexibility can potentially result in higher returns for lenders during periods of high demand, borrowers may face uncertainty as interest rates fluctuate over time.

Loan duration: Loan duration is a critical factor that impacts both borrowers and lenders within DeFi lending pools.

Fixed time period: Some lending pools offer loans with specific maturity dates, creating a defined timeline for borrowers to repay their loans. This structure provides borrowers with a clear repayment schedule and may appeal to those seeking short-term financing for specific purposes. Lenders in fixed-time period pools can anticipate when their capital will be repaid.

Continuous basis: Other lending pools operate continuously, allowing participants to enter and exit the pool at their discretion. These pools provide borrowers with flexibility, as they can choose when to repay their loans. However, lenders in continuous pools may face more uncertainty regarding when their capital will be returned, as repayments are not tied to predetermined maturity dates.

Risk profiles: The risk profile of a lending pool is a crucial consideration for both borrowers and lenders.



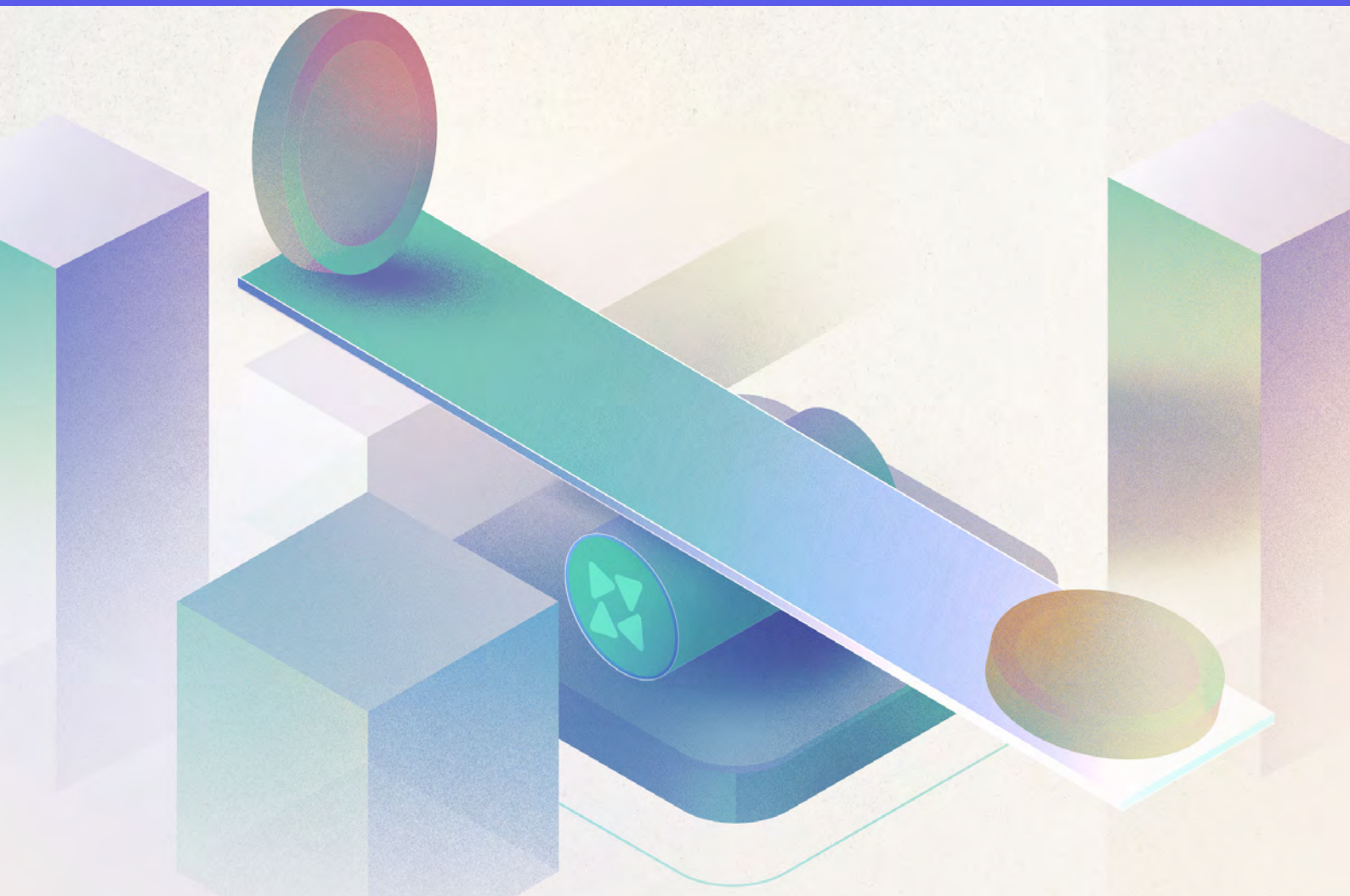
Collateral requirements: Lending pools can vary in their collateral requirements, which impact the level of risk associated with borrowing and lending. Pools that demand higher collateral ratios provide lenders with increased security but may limit borrowing capacity for borrowers. Conversely, pools with lower collateral ratios offer borrowers more flexibility but expose lenders to higher risks in the event of defaults.

Accepted collateral: The types of assets accepted as collateral within a lending pool can significantly influence its risk profile. Pools that accept a wide range of collateral assets may provide borrowers with more choices but could expose lenders to diverse market risks. In contrast, pools focused on a specific type of collateral aim to reduce risk by specialising in a particular asset class.

Asset diversification: Lending pools' approach to asset diversification plays a pivotal role in managing risk.

Balanced pools: Some lending pools distribute funds across various assets, aiming to minimise risk through diversification. These balanced pools spread capital across multiple assets to reduce the impact of poor performance in any single asset. Lenders in balanced pools may enjoy more stability, but the potential for high returns can be limited.

Specialised pools: Specialised lending pools focus on specific asset types or niches within the DeFi ecosystem. While these pools may offer borrowers and lenders exposure to unique opportunities, they are inherently more concentrated and may carry higher risks associated with the chosen asset class.



Real-World Assets and Lending Pools: A Perfect Match

02

Within the realm of DeFi, one of the most transformative developments is the introduction of real-world assets as collateral in DeFi loans. This ties together the digital decentralised finance world and the traditional world of physical assets and opens up new opportunities and efficiencies.

This chapter explores the concept of tokenised real-world assets, how they work in lending pools, as well as the various challenges for various types of real-world assets.

TOPICS - Click to jump to page

The tokenisation of real-world assets (RWA) explained pg.14

Real-world assets in lending pools pg.16

Managing the collateral pg.19

Challenges and considerations for different types of RWA pg.21

Back to chapter overview



The tokenisation of real-world assets (RWA) explained

The tokenisation of real-world assets is the process of creating a (fractionalised) digital twin of a physical asset that can be held, bought, and traded on a blockchain.

The tokenisation process comes with a variety of benefits, such as the ability to exchange and own the asset in a more secure and transparent manner. Additionally, it enables things like tracking the provenance of the asset, proofs of labour, and more.

The tokenisation of assets also allows them to be divided into smaller parts, making them available to a wider range of investors. Additionally, these assets can easily be traded on global marketplaces, increasing their availability to a wide range of investors even further.

Real-world asset tokenisation is not limited to certain types of asset classes either. Instead, tokenisation has the potential to benefit a diverse range of asset classes such as tangible assets like real estate, art, precious metals, and luxury goods, as well as intangible assets such as financial instruments, invoices, and carbon credits.

Fractional ownership of properties, for instance, is possible through the tokenisation of real estate, allowing investors to buy and sell small percentages of high-value properties. Similarly, the tokenisation of art can make art investments more accessible to a broader range of investors by allowing them to buy and sell fractions of high-value pieces.

Lastly, tokenisation can potentially solve some of the challenges linked with traditional ownership structures. Tokenisation enables more transparent and efficient ownership structures that can reduce expenses, fraud, and disputes. Smart contracts can also automate many of the processes associated with asset ownership, including transfers, payments, and maintenance.

The RWA tokenisation process

The process of tokenising a real-world asset consists of 3 steps:



01 **Pre-tokenisation step:** All the steps that happen in the real, non-digital, world before the asset is tokenised and put on a chain.

02 **Tokenisation step:** Putting all relevant data and data pointers on a blockchain and creating the tokens.

03 **Post-tokenisation step:** The distribution of the tokens and the management of the physical asset and tokens.

Pre-tokenisation step

The main parts of this step are highly dependent on the type of asset that is being tokenised, although it can generally be divided into formalising the value of the asset, verifying ownership of the asset, and ensuring the right processes are in place in order to take care of the maintenance and management of the physical asset, as well as legal processes in case of liquidations, dispute resolutions, and enforcement.

Tokenisation step

Once the pre-tokenisation step has been completed. It is time to make a digital representation of the asset in the form of tokens. The main parts of this step are making sure all relevant information about the asset is either put on a blockchain or pointed to from the blockchain, as well as creating the tokens of the real-world asset.

The connection between relevant data in traditional databases and data on the blockchain is facilitated through the use of (decentralised) oracles in order to ensure all relevant information is accurately represented on the blockchain. These oracles collect data from traditional databases and broadcast it to the blockchain.

Post-tokenisation step

After the previous steps have been completed and the tokenised asset has been created, it's time to start distributing/selling the tokenised assets. When using the tokenised assets as collateral in DeFi loans, this step usually means transferring the tokenised asset to a platform/underwriter/protocol so it can be used as a collateral.

Part of this step is the perpetual management of both the physical asset and the tokens based on the rules previously set. With an art piece, for example, this could include the storage of the piece, maintenance of the piece, insurance of the piece, etc., as well as the management of the tokens, including the management of the information about the token. This information may also be stored on the platform on which the lending pool is available.

Real-world assets in lending pools

Once tokenised, these real-world assets prove valuable as collateral in DeFi loans, enabling people to receive capital in novel ways. This section goes over the exact role of RWA in lending pools and the benefits this gives, as well as the process of actually using an RWA in a DeFi loan.

The role and benefits of RWA in lending pools

In the context of lending pools, real-world assets serve as collateral, underpinning the foundation of asset-backed lending. This collateralisation process involves locking up one or more tokenised real-world assets to secure loans, thereby creating a dynamic ecosystem that offers numerous advantages, such as:

Unlocked liquidity: Liquidity locked in illiquid assets can be unlocked without having to sell the asset. This enables asset owners to be more flexible and have better access to capital.

Diverse asset classes: DeFi lending pools can accommodate a wide range of asset classes, from real estate and art to precious metals and luxury goods. This diversity enables borrowers to leverage various assets as collateral.

Global accessibility: Tokenised RWA can be easily traded on global marketplaces, increasing their availability to a wide range of investors. This accessibility extends to borrowers seeking liquidity through DeFi loans.

Enhanced security: RWA-backed loans benefit from the inherent security and value of tangible assets. This collateralisation minimises the risk for lenders, as they have recourse to the underlying asset in the event of default.

Fractional ownership: The fractionalisation capability of tokenised assets empowers borrowers to utilise a portion of their high-value assets as collateral. This fractional ownership model democratises access to DeFi loans, enabling a broader spectrum of users to participate.

Efficient ownership structures: Tokenisation streamlines ownership structures, reducing administrative expenses, fraud potential, and disputes. Smart contracts automate various aspects of collateral management, such as transfers, payments, and asset maintenance.

The process of using real-world assets in lending pools

Now, let's delve into the process of integrating real-world assets into DeFi lending pools, especially from the perspective of asset owners seeking to leverage their RWA as collateral in a DeFi loan. This can typically be done in two ways, namely by approaching an underwriter who operates a lending pool on one of the various DeFi lending platforms, or by operating a lending pool yourself. We will explain both below.

Loan via underwriter

The first avenue for RWA owners seeking to obtain a DeFi loan using a RWA as collateral is to collaborate with an underwriter that operates one or more lending pools. These underwriters specialise in financing and already have one or more lending pools set up. The process of obtaining an RWA-backed loan via an underwriter usually involves the following steps:

01

Initial consultation: The process begins with an initial consultation between the RWA owner and an underwriter. During this conversation, the asset owner outlines their goals, the specific asset they wish to tokenise, and their desired DeFi lending pool integration.

02

Asset evaluation: The underwriter assesses the RWA's eligibility for tokenisation. This evaluation includes verifying the asset's ownership, its market value, and its suitability as collateral within the DeFi lending ecosystem.

03

Tokenisation: If the asset meets the criteria, the underwriter proceeds with the tokenisation process. This involves creating a digital representation of the real-world asset on the blockchain, typically in the form of tokens. All relevant information about the asset is accurately recorded on the blockchain or linked to it.

04

Integration into the lending pool: Post-tokenisation, the tokenised asset is integrated into a lending pool. This can be a lending pool managed by the underwriter or a specific DeFi protocol that accepts external assets. The asset owner now has the option to use their tokenised asset as collateral to secure DeFi loans.

05

Loan application: Asset owners can apply for DeFi loans using their tokenised RWA as collateral. The amount they can borrow is determined based on various factors, including the asset's value, the lending pool's parameters, and the specific DeFi protocol's terms.

06

Loan repayment: Borrowers are responsible for repaying their loans within the agreed-upon terms, including interest and any additional fees. Failure to repay may result in the liquidation of the collateralized RWA.

Loan through self-managed pools

Alternatively, some RWA owners may opt for a more customisable and decentralised approach. In this case, RWA owners can launch their own lending pool, allowing them to better connect with their community and have a lower cost of funds as compared to working with an underwriter. The process of obtaining an RWA-backed loan through a self-managed lending pool usually involves the following steps:

01

Pool creation: Asset owners initiate the process by creating their lending pool using a DeFi lending platform or protocol. They outline the rules, terms, and conditions for collateralising their RWA within the DeFi ecosystem.

02

Tokenisation: Similar to the underwriter-led process, tokenisation of the RWA occurs. This involves creating digital tokens that represent fractional ownership of the real-world asset. This step can be handled by the asset owner or a designated party within the community.

03

Integration in the lending pool: The tokenised RWA is integrated into the lending pool. Here, RWA owners can access the pool's DeFi lending functionalities, offering their tokenised assets as collateral.

04

Loan creation: The asset owner can now create a DeFi loan by providing tokenised RWA as collateral. The lending terms are governed by the rules established during the pool's creation.

05

Loan management: Asset owners who use their tokenised RWA as collateral remain actively involved in loan management, including monitoring their loan status, interest payments, and adherence to the pool's rules.



Both underwriter-facilitated and self-managed approaches provide avenues for RWA owners to harness the potential of their assets within the DeFi lending landscape. These processes empower asset owners to actively participate in the DeFi ecosystem while unlocking value locked in illiquid assets for financial opportunities.

Managing the collateral

Effective management of collateral, especially real-world assets within DeFi lending pools, is essential to ensure the security and efficiency of the lending ecosystem. This section explores the critical considerations and processes associated with the collateral management of tokenised real-world assets.

Asset valuation and tracking

Valuation: Accurate and up-to-date valuation of tokenised RWA is essential in order to have an accurate loan-to-value (LTV) ratio. This is key information for lenders to assess the risk of a loan.

Valuation can be challenging, as it may involve periodic appraisals or rely on external pricing data sources. Therefore it is crucial that an RWA is correctly assessed before it is used as collateral in a loan. The way in which this value is assessed varies depending on the type of asset but is usually done by an expert in the specific type of asset.

Tracking: The value of real-world assets can fluctuate over time. Continuous tracking and monitoring of the RWA's value is crucial to ensure that collateral remains adequate throughout the loan's duration. Integrating real-time data feeds from trusted sources into lending pool protocols enables precise asset tracking.

Another option to continuously assess the real-time value of an asset is to have a bidding market for collaterals during the loan period. In this case, there is always a real-time price available for the collateralized asset.

Insurance and risk mitigation

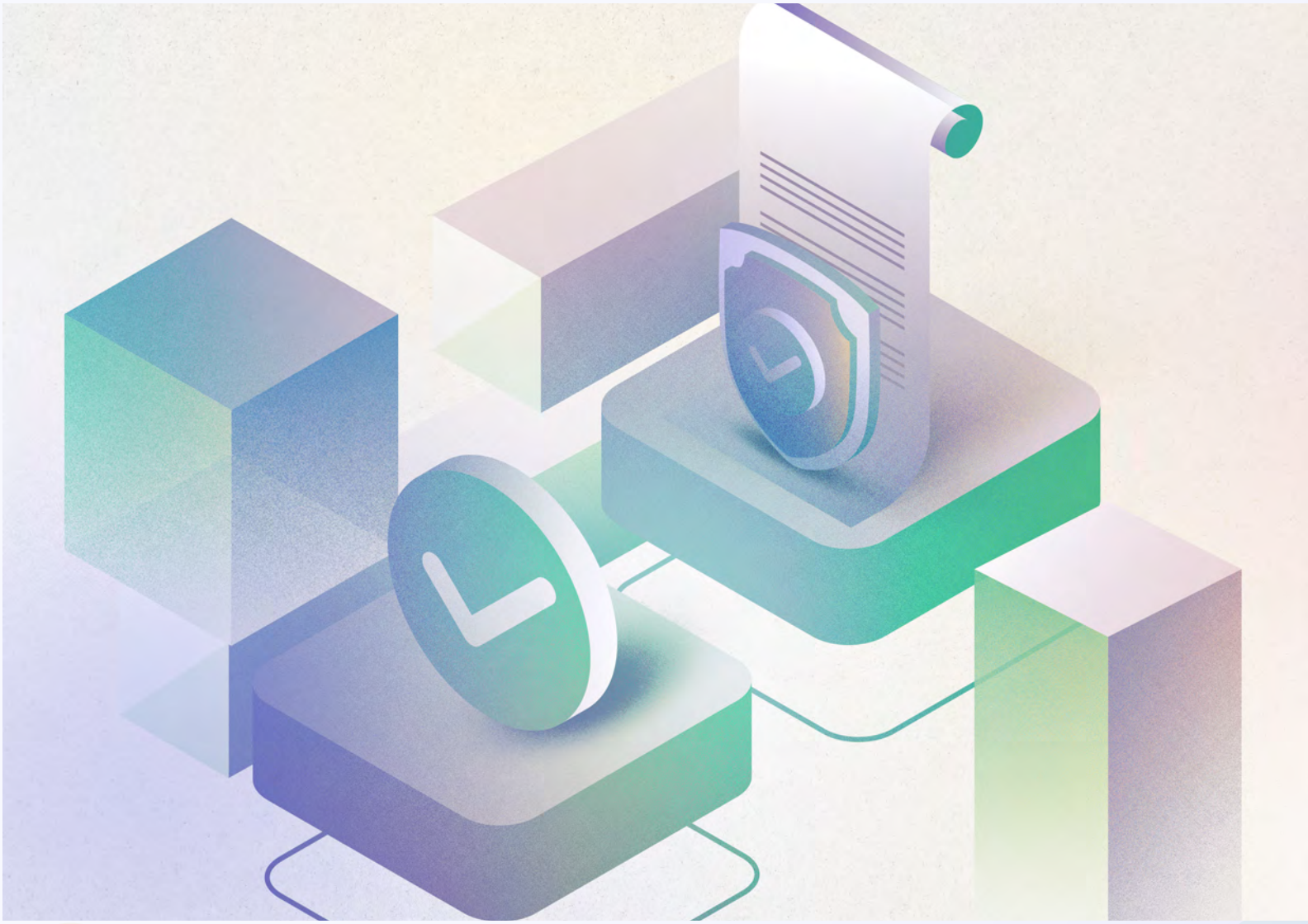
Insurance: To mitigate potential risks associated with collateralized RWA, borrowers, and lenders may consider insurance coverage. Insurance policies can safeguard assets against damage, theft, or unexpected events, providing an additional layer of protection to lenders and borrowers.

Physical management: Some tokenised assets, such as real estate or art, require physical care and maintenance. Asset owners should have robust plans in place for the physical management of these assets, including security, maintenance, and storage. This ensures the assets maintain their value and integrity throughout the lending period. It is important to consider possible costs associated with this maintenance.

Liquidation and legal structures

Liquidation strategies: In the event of borrower default or a significant drop in collateral value, lending pools need effective liquidation mechanisms. Options may include selling the tokenised RWA to a last-resort buyer (which can be appointed at the start of the loan or later) or conducting a bidding process to recover the loaned funds. These strategies help protect lenders from losses.

Legal framework: Implementing a well-defined legal structure is vital to govern the relationships and responsibilities of pool participants. Legal agreements specify the rights and obligations of borrowers, lenders, and pool operators. These agreements provide a framework for dispute resolution, default scenarios, and asset recovery processes.



Challenges and considerations for different types of RWA

The integration of various types of real-world assets (RWA) into DeFi lending pools introduces distinct challenges and considerations associated with each asset class. Understanding these challenges is crucial for ensuring the efficient management of collateral within the lending ecosystem.

To give a broad understanding of some asset-type-specific challenges we'll look into the challenges and considerations of financial assets, real estate, luxury goods and collectibles, and intangible assets.

Financial assets

Regulatory compliance: Financial assets, such as securities and bonds, often fall under stringent regulatory frameworks. Compliance with securities laws, Know Your Customer (KYC), and anti-money laundering (AML) regulations is essential. Overcoming these regulatory hurdles while maintaining decentralisation is a significant challenge. Furthermore, regulations per type of financial asset or per jurisdiction also vary.

Price volatility: Financial assets can experience price volatility influenced by market conditions, interest rates, and economic factors. Effective risk assessment and mitigation strategies are necessary to address potential fluctuations in asset value.

Liquidity risk: Liquidity risks arise when dealing with financial assets that may have limited trading volumes. Ensuring that there is an active secondary market for these assets is vital to maintaining liquidity in the lending pool.

Real estate

Legal and regulatory complexity: Real estate tokenisation involves navigating complex legal structures, including property rights, land-use regulations, and local laws. Legal agreements must be robust to address these complexities.

Property maintenance: Physical assets like real estate require ongoing maintenance to preserve their value. Maintenance costs, insurance, and property management should be factored into the collateral management process.

Ownership and tenancy disputes: Real estate may be subject to disputes related to ownership, boundaries, or tenancy. Resolving these disputes can be time-consuming and may affect the collateral's usability.

Luxury goods and collectibles

Authentication and provenance: High-value items like luxury goods, art, or collectibles require rigorous authentication and provenance tracking to establish their legitimacy and value. Ensuring the authenticity of these assets is paramount.

Storage and security: Proper storage and security measures must be in place to safeguard luxury goods and collectibles. Theft or damage to these assets can result in substantial losses.

Market sentiment: The value of luxury assets may be influenced by market sentiment, trends, and fashion. Borrowers should be aware of potential fluctuations in the value of these assets.

Intangible Assets

Data quality: Intangible assets, such as invoices or carbon credits, rely on accurate and reliable data. Ensuring data quality and authenticity is essential to maintain the integrity of these assets.

Regulatory compliance: Certain intangible assets, like carbon credits, may be subject to specific regulatory requirements and reporting standards.

Market acceptance: The acceptance and recognition of intangible assets within lending pools can vary. Borrowers and lenders should assess the market's demand for these assets.

Addressing these challenges often requires collaboration between asset owners, legal experts, and industry-specific stakeholders. Additionally, robust risk assessment frameworks and insurance solutions can mitigate potential issues related to the use of diverse RWA in lending pools. As the DeFi ecosystem matures, innovative solutions and best practices will continue to evolve to accommodate a broader range of real-world assets.



Aspects of Projects That Benefit Most From Lending Pools

03

In this chapter, we explore the crucial attributes that make a project well-suited for integrating with lending pools within the DeFi ecosystem. We delve into why these projects shine as prime candidates for lending pool collaboration, emphasising the unique benefits they can reap from such integration.

These attributes include their need for liquidity, expertise in their asset class, strong community support, and a willingness to tackle challenges. By understanding how each of these aspects contributes to their suitability, a project can gain valuable insights into why these projects stand out as ideal matches for seamless lending pool integration, and it will help you understand if and how your project could benefit from lending pools.

TOPICS - Click to jump to page

Need for liquidity pg.24
Expert in their asset class pg.24
Strong community pg.25
Open to tackle challenges pg.25

Back to chapter overview



Need for liquidity

Projects that require a significant infusion of liquidity can unlock numerous advantages through lending pool integration. We explore how these projects benefit from access to substantial pools of capital, enabling them to:

Fuel growth and expansion: Integration with lending pools empowers projects to secure the necessary funding for expansion, development, and scaling operations.

Seize strategic opportunities: With readily available liquidity, projects can seize time-sensitive opportunities, such as acquisitions, partnerships, or market expansions, without delays.

Optimise cash flow: Lending pools provide a flexible source of capital, allowing projects to manage cash flow effectively and navigate financial challenges with confidence.

Expert in their asset class

Projects with a deep understanding of their asset class can leverage lending pools to enhance their financial strategies and risk management. The usage of lending pools enables them to:

Maximise asset efficiency: Their expertise enables them to make informed decisions regarding asset allocation within lending pools, optimising returns, and mitigating risks.

Minimise collateral risks: In-depth knowledge of their assets allows them to select collateral wisely, reducing the risk of liquidation and enhancing overall stability.

Create tailored offerings: Projects can craft lending and borrowing offerings tailored to their specific asset class, attracting participants with similar interests and expertise.

Strong community

Projects supported by a dedicated community can harness the power of lending pool integration to further engage and strengthen their ecosystem. These projects can:

Foster community involvement: Lending pool integration can be a catalyst for community engagement, encouraging greater participation in the ecosystem of the project.

Expand ecosystem utility: Strong community backing can drive increased utility within the lending ecosystem, generating organic growth and network effects.

Enhance governance: Engaged communities can actively participate in lending pool governance, shaping the direction and policies of the loans and helping create offerings that work well for lenders and borrowers.

Open to tackle challenges

Projects that confront challenges head-on are well-prepared to navigate the complexities of lending pool integration. We explore how their resilience and adaptability benefit them.

Regulatory compliance: Projects that proactively address regulatory challenges can navigate legal frameworks more easily and establish compliant lending pool operations.

Security measures: A proactive approach to security ensures that projects can safeguard assets and protect participants from potential threats.

Market adaptation: Projects open to overcoming challenges are more proficient at adapting to changing market conditions and new market challenges.

Using Defactor Pools to Unlock Your Liquidity

04

*Unlocking liquidity has become easier and cheaper than ever through the usage of lending pools. Products like **Defactor Pools** enable this and are designed to provide you with the tools and support needed to create lending pools tailored to your specific needs and assets.*

Back to chapter overview



Why choose Defactor Pools?

Defactor Pools offers various distinct advantages for anyone looking to leverage lending pools:

Expert guidance: Our team of experts is available to offer insights and assistance, ensuring your lending pool aligns with your goals and requirements. Additionally, Defactor offers support with setting up lending pools, KYC/AML, and more.

Streamlined process: Defactor Pools simplifies the process of creating a lending pool, making it a user-friendly experience without unnecessary complexities.

Emphasis on security: We prioritise the security and compliance of your lending pool, allowing you to embark on your DeFi lending journey with confidence.

Tailored solutions: Each lending pool is unique, and Defactor Pools allows you to customise your pool to match your specific assets and objectives.

Connect with us

Unlocking liquidity is a crucial step towards achieving your financial aspirations. Whether you're a business owner in the real estate space, or a winery in France, Pools can enable you to unlock your liquidity.

Reach out to explore how Defactor Pools can assist you in your DeFi lending journey. We're here to help you make informed decisions and navigate the world of decentralised finance effectively.

TALK TO THE TEAM

Glossary

Annual percentage yield (APY)

APY is a financial metric used to represent the annualised rate of return on an investment or savings account, including the effect of compounding. It reflects the actual earnings or costs over a year, taking into account interest or yield payments.

Anti-money-laundering (AML) regulations

AML regulations are rules and procedures put in place to prevent the illegal process of disguising the origins of illegally obtained money. Financial institutions and businesses implement AML measures to detect and report suspicious transactions and activities.

Blockchain

Blockchain is a distributed and decentralised digital ledger technology that records transactions across multiple computers in a way that ensures transparency, security, and immutability. It is commonly associated with cryptocurrencies like Bitcoin but has various applications beyond digital currencies.

Collateral

A collateral is an asset or property offered as security to a lender in exchange for a loan. If the borrower fails to repay the loan, the lender can seize the collateral to recover the debt.

Decentralised finance (DeFi)

DeFi refers to a blockchain-based financial system that operates without traditional intermediaries like banks. It aims to provide open and accessible financial services, including lending, borrowing, and trading, using smart contracts and decentralised platforms.

Default

Default occurs when a borrower fails to fulfil the terms of a loan agreement, typically by not making scheduled payments. In lending pools, default can lead to various consequences, including the liquidation of collateral to recover funds for lenders.

DeFi loan

A DeFi loan is a type of loan obtained or provided through decentralised finance platforms. These loans often rely on smart contracts to automate lending and borrowing processes, removing the need for traditional financial intermediaries.

Fractionalisation

The act of dividing an asset into smaller parts, often represented as tokens, to make it available to a wider range of investors.

Junior token

In DeFi and blockchain-based projects, a junior token typically represents a lower-priority or riskier investment compared to senior tokens. Junior token holders are usually the first to absorb losses in case of a financial downturn.

Know-your-customer (KYC) regulations

KYC regulations are legal requirements that financial institutions and businesses must adhere to in order to verify and authenticate the identities of their customers. KYC procedures involve collecting personal information and documentation to prevent fraud, money laundering, and other illicit activities.

Lending pool

A lending pool is a common resource in DeFi platforms where users deposit their assets (cryptocurrencies or tokens) to provide liquidity for loans. Borrowers can then access these pooled funds by collateralising their assets and paying interest.

Liquidation

Liquidation refers to the process of converting assets, such as collateral or investments, into cash. This is often done to satisfy debts or obligations. In the context of lending pools, liquidation may occur when a borrower's collateral is sold to repay a loan in the event of default.

Liquidity pool

A liquidity pool consists of funds locked in a smart contract on a decentralised exchange (DEX) or DeFi platform. These funds are used to facilitate trading and provide liquidity to users by allowing them to swap one cryptocurrency for another.

Loan-to-value ratio (LTV)

LTV is a financial ratio that assesses the risk of a loan by comparing the amount borrowed to the appraised value of the collateral. It helps lenders determine the level of risk associated with a loan and set borrowing limits.

Pools

Platform by Defactor which enables loan seekers to create their own lending pools. This gives loan seekers an opportunity to unlock their liquidity and lenders an opportunity to provide funds in return for rewards.

Real-world assets (RWA)

Real-world assets are physical or tangible assets, such as real estate, art, or commodities, that are tokenised and represented on blockchain platforms to enable fractional ownership and trading.

Senior token

In DeFi projects with multiple token classes, senior tokens usually have higher priority and receive more favourable treatment in terms of payouts and protection against losses compared to junior tokens.

Smart contract

A smart contract is a self-executing contract with the terms and conditions directly written into code. It automatically enforces and executes agreements when predefined conditions are met, often on a blockchain.

Tokenisation

Tokenisation is the process of converting real-world assets or rights into digital tokens that can be traded, transferred, or recorded on a blockchain. This enables greater liquidity and accessibility to a wider range of assets.

Utilisation rate

The utilisation rate is a metric used in DeFi lending platforms to measure the extent to which assets in a lending pool are being borrowed. It helps determine the efficiency of the lending protocol and can impact interest rates and rewards for liquidity providers.

defactor

www.defactor.com



Follow us:

/company/defactordao/

@defactor_

@defactor_official

@defactor_

Back to chapter overview